

A Landlord's Foreclosure and a Rent Freeze: Capital, Politics, and the Unwind of Signature Bank's Book

The \$36M foreclosure reveals how political risk, regulatory pressure, and frozen rents compound the unwind of failed bank debt.

The most important number in Rajmattie Persaud's foreclosure is not the \$36 million in loans. It is the \$1,311 average rent across 102 units in Hollis. That number, frozen by a political decision last week, is the binding constraint on the entire capital stack. The foreclosure complaints filed this month in Queens County Supreme Court cover four tax lots with 262 rent-stabilized apartments.

The loans originated at the former Signature Bank in 2022. Signature was closed by regulators in 2023. The loans were transferred to SIG RCRS A/B MF 2023 VENTURE, an entity tied to Santander Bank. The borrowers fell behind on debt service, insurance, water, and tax payments. The lender also cited housing code violations as events of default. This is not a simple story of a landlord who borrowed too much.

It is a story about what happens when three forces converge: a failed bank's loan book being wound down by a new servicer, a political environment that has turned against the asset class, and a rent regulatory framework that removes the landlord's primary lever for increasing revenue. The timing matters.

New York's Rent Guidelines Board voted last week to freeze rents on stabilized apartments, fulfilling a signature campaign promise of Mayor Zohran Mamdani. That means the buildings in foreclosure cannot expect a revenue bump from the next round of lease renewals. The \$1,311 average rent in the largest property is not just low. It is locked.

Meanwhile, Persaud's Fordham Fulton Realty is battling the city over more than \$31 million in court-ordered penalties tied to housing code violations. The company filed for bankruptcy in November 2025. The mayor called out Persaud by name in a May press conference, highlighting the judgments and signaling that the administration was looking for cooperation from the lender to facilitate a sale to a mission-driven buyer. That last detail is the most revealing.

The administration is not just enforcing housing code violations. It is actively trying to shape who owns these buildings and on what terms. The lender, Santander through its special purpose vehicle, is being asked to sell to a nonprofit at a discount rather than foreclose and sell to a market-rate buyer. For the lender, the calculus is straightforward. The loans are non-performing.

The collateral is rent-stabilized housing with frozen rents, code violations, and a sponsor in bankruptcy. The path to recovery is through foreclosure, but the political environment makes that path uncertain. A sale to a mission-driven buyer at a discount may be the fastest way to exit, even if it means taking a loss. For the market, this case is a signal.

The unwind of Signature Bank's loan book is not happening in a vacuum. It is happening in a city where the mayor has made rent regulation and landlord accountability central to his agenda. Lenders holding similar loans on rent-stabilized properties in New York City should expect that political risk will be a factor in their recovery calculations. Who benefits?

Nonprofits and mission-driven buyers who can acquire stabilized assets at a discount with the city's blessing. Who is exposed? Any lender with a rent-stabilized loan originated in the 2021-2022 period, when cap rates were compressed and underwriting assumed rent growth that is now politically impossible. The next phase of this market will not be defined by who owns the best story.

It will be defined by who controls the cheapest capital and who can navigate the intersection of debt, politics, and regulation. The Persaud case is a preview of that intersection.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co